

**DEPARTMENT OF THE TREASURY
LIMITED-SOURCES JUSTIFICATION**

Acquisition Title: eDiscovery Litigation Support Services

This acquisition is conducted under the authority of the Multiple Award Schedule Program (see FAR 8.401)

1. Identification of the agency and the contracting activity:

The requiring activity is the Internal Revenue Service (IRS), Office of Chief Counsel (OCC). The contracting activity is the IRS, Office of the Chief Procurement Officer, Special Operations Division, Chief Counsel Branch.

2.a Nature and/or description of the action being approved:

The purpose of this limited-source justification (LSJ) is to request an exception to the IRS Bridge Moratorium to award a Firm-Fixed-Price Task Order (TO) with the incumbent vendor, Deloitte Financial Advisory Services, LLP (Deloitte), to continue mission-essential electronic discovery (eDiscovery) and litigation support services currently provided under TO 2032H5-19-F-00759 expiring on March 29, 2025. The Period of Performance will be from March 30, 2025, through March 29, 2026, consisting of a 6-month base and two three-month Option Periods to be exercised at the discretion of the Government in whole or in part, if needed. The duration of the bridge affords the Government reasonable time to assess the Department of the Treasury (Treasury) Shared Solution, "Nuix", and competitively procure the IRS's long-term eDiscovery solution while ensuring compliance with policy and procedures. The requested bridge contract is required to maintain operational continuity of mission-essential tax litigation discovery, including the ability to meet statutory and court mandated deadlines, while a competitive next generation contract is awarded. [REDACTED]

2.b Name of the vendor: Deloitte Financial Advisory Services, LLP

2.c Requisition No.: [REDACTED]

2.d Bridge contract: ☒ Yes ☐ No

2.e Brand name: ☐ Yes ☒ No

3.a A description of the supplies or services required to meet the agency's needs:

The requested bridge TO will provide mission-essential eDiscovery litigation support services, including continued access to a Federal Risk and Authorization Management Program (FedRAMP) Moderate, Software-as-a-Service eDiscovery platform hosted in the contractor's data center. The solution will include robust data migration capabilities and advanced review tools to ingest, collect, preserve, process, and produce data. [REDACTED]

[REDACTED] Ancillary litigation support services will also be required, including processing/ingestion, end-user training, and consulting related to the e-discovery/Electronically Stored Information (ESI) review process. These services also include advising on advanced and complex use of tools, applications, or processes.

The IRS is involved in many document requests, both as an originator and a respondent. These requests occur during tax or general litigation or inquiries from external parties. A typical response to any of these requests can involve a range of data sizes, from hundreds of megabytes (MB) to terabytes (TB) of unstructured data and thousands to millions of native files that must be reviewed, analyzed, and eventually produced for the requester. A typical incoming production can also involve hundreds of MB to TB of unstructured data produced either as load files or native files that must be reviewed and analyzed. The legal staff assigned to this work can be as small as a single attorney to several dozen individuals, all concurrently accessing the same dataset.

Deloitte's solution shall meet/provide the following requirements:

- Be able to host 90 TB of ESI, scalable up to 200 TB.

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- Support 200 concurrent users with minimal reduction in performance compared to a single user, scalable to up to 400 concurrent users.
- Shall be compliant with Homeland Security Presidential Directive 12
- All hardware dedicated to the platform shall be deployed in facilities located within the United States.
- Shall be capable of hosting an individual case comprised of more than 10 TB of data.
- Shall support data ingestion and processing, including ingestion of a minimum of 250 GB of data per day, scalable to 1 TB of data per day.
- Shall support data analysis and review, including the use of Technology-Assisted-Review and offer near-deduplication, with customizable deduplication parameters.
- Shall provide a robust redaction capability, including the ability to run rules-based redaction jobs.
- Shall be capable of producing load files created in accordance with all IRS and Department of Justice load file specifications for comma delimited, EDRM XML, and Concordance load files.
- Shall receive and utilize data on external media to load to eDiscovery platform and be capable of providing external media to ship to the IRS or third parties while maintaining Federal Information Processing Standards of encryption or higher.
- Shall be capable of archiving, restoring, and moving workspaces, including the ability to import workspaces from other review platforms.

3.b Includes IT: ☒ Yes ☐ No **PSC:** DA10; **NAICS:** 541611

3.c IGCE/Estimated dollar value:

The IGCE amount is [REDACTED], which includes the initial 6-month base period and the two three-month option periods if fully exercised. [REDACTED]

4.a Identification of the authority being used (Check the appropriate box that applies).

- ☒ FAR 8.405-6(a)(1)(i)(A) – An urgent and compelling need exists, and following the procedures would result in unacceptable delays.
- ☐ FAR 8.405-6(a)(1)(i)(B) – Only one source is capable of providing the supplies or services required at the level of quality required because the supplies or services are unique or highly specialized.
- ☐ FAR 8.405-6(a)(1)(i)(C) – In the interest of economy and efficiency, the new work is a logical follow-on to an original Federal Supply Schedule order or BPA provided that the original order or BPA was placed in accordance with FSS procedures in accordance with the applicable Federal Supply Schedule ordering procedures. The original order or BPA must not have been previously issued under sole-source or limited-sources procedures.
- ☐ FAR 8.405-6(b) – Items peculiar to one manufacturer. (i.e., Brand Name specifications)

4.b Supporting Rationale:

Mission-essential eDiscovery and litigation support services supporting OCC's pending tax litigation, including the electronic capability to meeting court-mandated discovery deadlines, congressional deadlines, and statutory requirements are provided under TO 2032H5-19-F-00759, which will expire on March 29, 2025. The OCC has approximately 600 matters currently in litigation that are in Deloitte's hosted environment. These cases, collectively, comprise over 90 TB of hosted data and representing over \$30 billion of potential revenue loss for the Government. The option to extend services authorized under Federal Acquisition Regulation

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(FAR) 52.217-8 has already been exercised and support cannot be further extended under the current TO. The requiring and contracting activities have been collaborating on the placement of a competitively awarded next generation TO for these services. During Treasury's Federal Information Technology Acquisition Reform Act (FITARA) review, the potential to modify the existing contract for Treasury's Shared Solution to fulfill OCC's requirement was raised. The requested bridge is needed to provide the IRS sufficient time to assess the capabilities of Treasury's Shared Solution and the feasibility of modifying the contract for the Treasury Shared Solution to accommodate OCC's requirement, and to thoroughly vet any litigation, privacy, and cybersecurity risks associated with hosting tax litigation data on Treasury's on-premises servers.

Initial Market Research conducted as part of the pre-award phase of the competitive next generation contract indicates potential for robust small business representation. However, an award to anyone other than the incumbent contractor would require a new Authority to Operate (ATO) be granted, which is anticipated to take between 6 and 9 months. The requested bridge would provide the IRS sufficient time to conduct a competitive procurement for the next generation contract and work through the ATO process, ensuring a seamless transition from Deloitte to the new awardee without the risk of a lapse in service.

The delay in awarding a competitive next generation contract is not due to a lack of appropriate advanced planning, but rather due to the late identification of Treasury's Shared Solution. The IRS was made aware of the Treasury Shared Solution in December 2024, during the FITARA review process. The Treasury Shared Solution is a TO awarded off the National Aeronautics and Space Administration (NASA) Solutions for Enterprise-Wide Procurement (SEWP) contract vehicle, therefore it is not reported in the Office of the Procurement Executive (OPE) portal for Treasury-Wide Contract Vehicles. The requiring and contracting activity was unaware of this contract prior to the Treasury FITARA review process. The identification of this shared solution in the during the final approval before the release of the solicitation leaves the IRS with insufficient time to review the potential solution and compete the next generation contract prior to the expiration of services in March 2025.

5. A determination by the ordering activity Contracting Officer that the order or BPA represents the best value consistent with FAR 8.404(d):

The Contracting Officer has determined that the TO represents the best value consistent with FAR 8.404(d) and lowest overall cost alternative (considering price, special features, administrative costs) to meet the Government's needs based on pre-negotiated rates that were determined fair and reasonable at the time of contract award. The Government has identified the availability of the services, from Deloitte, on General Services Administration (GSA) Multiple Award Schedule Special Item Number 541611LIT, which has pre-negotiated rates. It is the Government's expectation that pricing proposed by Deloitte for the requested bridge would not exceed the maximum rates established at the GSA Schedule Contract level, which have been determined fair and reasonable.

6. A description of the market research conducted among schedule holders and the results or a statement why market research was not conducted:

The Government conducted extensive market research between March 2023 and November 2024 to determine the market for the required services under the competitive next generation procurement. The market research included a Request for Information, Sources Sought Notice, a review of Treasury and Office of Management and Budget-mandated solutions/sources, a search of Government-wide databases, and attending multiple conferences or industry days. While the results of this market research remain valid, there is insufficient time to conduct the

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required analysis of the Treasury Shared solution and conduct a competitive procurement prior to the expiration of the current TO. [REDACTED]
[REDACTED]

7.a Any other facts supporting this justification:

Deloitte currently hosts workspaces for 600 cases actively in litigation. These workspaces include not only case-related data hosted on Deloitte's servers but also the work product of the OCC represented by coding determination on documents (responsive, privileged, needed to be redacted, etc.). Losing access to these documents and work products would constitute a work stoppage for these cases in active litigation which would result in attorney teams being unable to meet court-imposed deadlines, statutory requirements, and congressional responses. Loss would also interrupt the transmission of data and coding decisions relied upon by other agencies, like the Department of Justice, that the IRS supports in litigation. The data, coding decisions, and underlying Structured Query Language databases hosted by Deloitte constitute over 90 TB of data that OCC would be unable to review following a lapse in services.

Moreover, Deloitte provides crucial litigation support services such as the ingestion, processing, and production of ESI along with help desk, scanning, trial presentation, and workflow analysis support serves as part of the overall eDiscovery process. The loss of these services would result in a work stoppage and attorney teams will be unable to meet court-imposed discovery and related external deadlines.

Migration of this existing data to another solution was evaluated in market research as one criterion for a proposed procurement. However, IRS cybersecurity and government-wide policy require that any replacement tool receive an ATO from IRS cybersecurity. Currently, the only with such a tool that has received an ATO is current eDiscovery tool, the Deloitte-hosted Software-as-a-Service eDiscovery platform. The time anticipated to receive an ATO for a new environment is estimated to be between 6-9 months.

The bridge contract will also contain a portion of Advisory & Assistance Services for some program and/or project management and administration support as it relates to ongoing advice, guidance, and best practices for specific cases and if need be, subject matter expertise testimony. However, the FAR 16.505(c)(2)(ii) restriction on ordering periods for A&A services is inapplicable to this award as it is a task order, which has no ordering period.

7.b Attachments: ☐ Yes ☒ No

8. A statement of the actions, if any, the Requiring Activity and Contracting Activity may take to remove or overcome any barriers that led to restricted consideration before any subsequent acquisition for the supplies and services is made:

The requiring and contracting activities remain committed to maximizing competition, including an additional evaluation of a small business set-aside, when soliciting the next generation contract. The requiring and contracting activities are aggressively pursuing the next generation contract and assessing all available solutions. The current TO was competitively awarded to Deloitte and the Government will maximize competition to the greatest extent possible in all future TOs for this requirement. As stated previously in this LSJ, the requested bridge would provide the Government with enough time to compete and award a next generation effort and depending on the selected eDiscovery platform, complete any additional steps to secure an ATO, significantly increasing the likelihood of the resulting award being made to a small business.

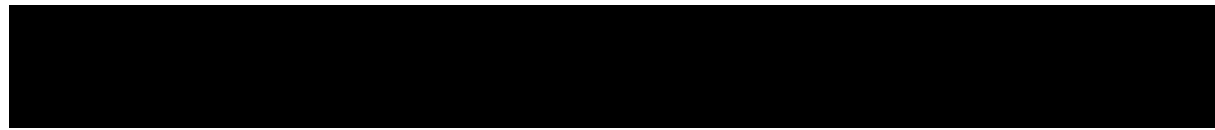
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9. Certifications and Approvals:

9.a Program Office Certification (Requiring Activity). I hereby certify that any supporting information and data provided (e.g., the Government's minimum needs or requirements, or other rationale for the limited sources) and which form the basis for this justification for an exception to fair opportunity, are accurate and complete to the best of my knowledge and belief.



9.b Contracting Officer Certification and Approval. I hereby determine the circumstances of this acquisition support the justification to acquire these supplies or services on a limited source basis. I also certify this limited-sources justification is accurate and complete to the best of my knowledge and belief. Therefore, unless additional approvals are required as prescribed below, as the authorized contracting officer for this acquisition, I hereby approve the processing of this requirement on a limited-source basis.



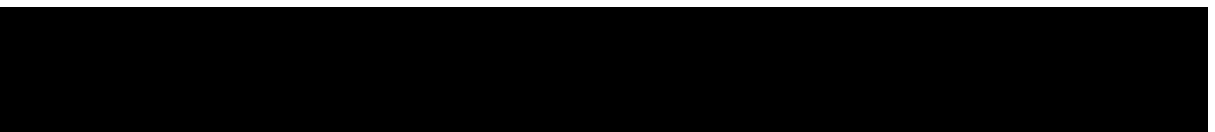
10. Additional Reviews and Approvals (As applicable):

10.a Bureau Chief Information Officer or Authorized Designee (for IT requirements that are over \$5 million, but not exceeding \$75 million) (Contracting Activity). I have reviewed this justification and find it to be accurate and complete to the best of my knowledge and belief, and representative of the Government's need. Therefore, I hereby consent to the approval of this justification. (Note: The Bureau CIO may delegate their authority for proposed contracts over \$5 million, but not exceeding \$15 million to the Associate Bureau CIO(s).)

Name: _____ **Date:** _____

Signature: _____

10.b Advocate for Competition (if over \$750,000, but not exceeding \$15 million) (Contracting Activity). I have reviewed this limited-sources justification and find it to be accurate and complete to the best of my knowledge and belief. Therefore, unless additional approvals are required as prescribed below, as the ordering activity's Advocate for competition, I hereby approve this limited-sources justification.



10.c Head of the Procuring Activity or Authorized Designee (if over \$15 million, but not exceeding \$75 million) (Contracting Activity). I have reviewed this limited-sources justification and find it to be accurate and complete to the best of my knowledge and belief. Therefore, unless additional approvals are required as prescribed below, as the head of the procuring activity or authorized designee, I hereby approve this limited-sources justification.

Name: _____ **Date:** _____

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Signature:_____

10.d Treasury Chief Information Officer (for IT requirements that are over \$75 million).

I have reviewed this justification and find it to be accurate and complete to the best of my knowledge and belief, and representative of the Government's need. Therefore, I hereby consent to the approval of this justification.

Name:_____ **Date:**_____

Signature:_____

10.e Senior Procurement Executive (if over \$75 million) (Contracting Activity). I have reviewed this limited-sources justification and find it to be accurate and complete to the best of my knowledge and belief. Therefore, I hereby approve this limited-sources justification.

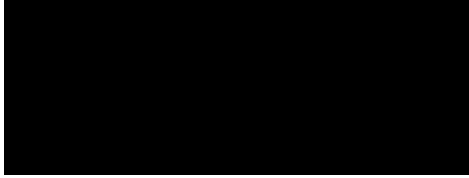
Name:_____ **Date:**_____

Signature:_____

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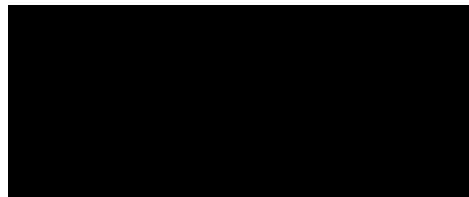
This signature page was added to document that this is an exception to the moratorium on making awards to other-than-small-businesses that are bridge actions (reference: Moratorium entitled “Concern over critical Internal Revenue Service (IRS) acquisition deficiencies.”)

Prepared by:



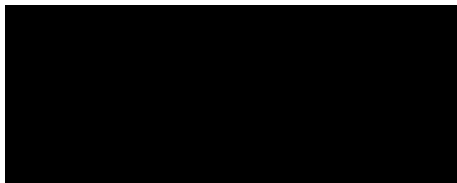
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Reviewed By:

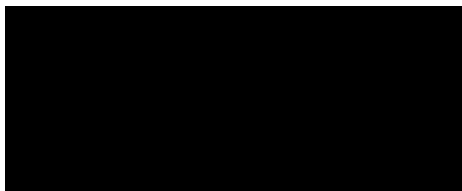


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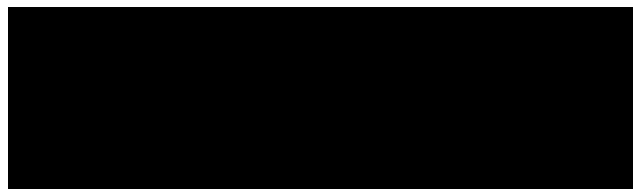
Approved by:



Date



Date



Date